



UK Gender Pay Gap Analysis

For Reporting Year 2021 to 2022

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Presented by Emily SY on 2 April 2026

AGENDA

- **Executive Summary**
- **Key Findings**
- **Key Implications**
- **Limitations of the Data and Key Caveats**
- **Recommendations** ²
- **Conclusion**

WHAT IS THE OBJECTIVE?

For the UK government to understand and monitor the gender pay gap across different industries and organisations in UK.

WHAT DATA WAS USED?



Reporting Year: 2021 to 2022



Snapshot Date: 4 April 2022

10,174

Number of UK
employers

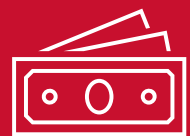
Submitted data to
UK Gender Pay Gap Service

KEY INFORMATION AVAILABLE



Company Information

- Company Name & Size
- Industry Sector
- Postal Code



Pay Metrics & Workforce Distribution

- Differences in hourly pay between men and women
- Differences in bonus pay
- Proportion of men and women receiving bonuses
- Distribution of men and women across different pay levels within organisations

Typical Gender Pay Gap



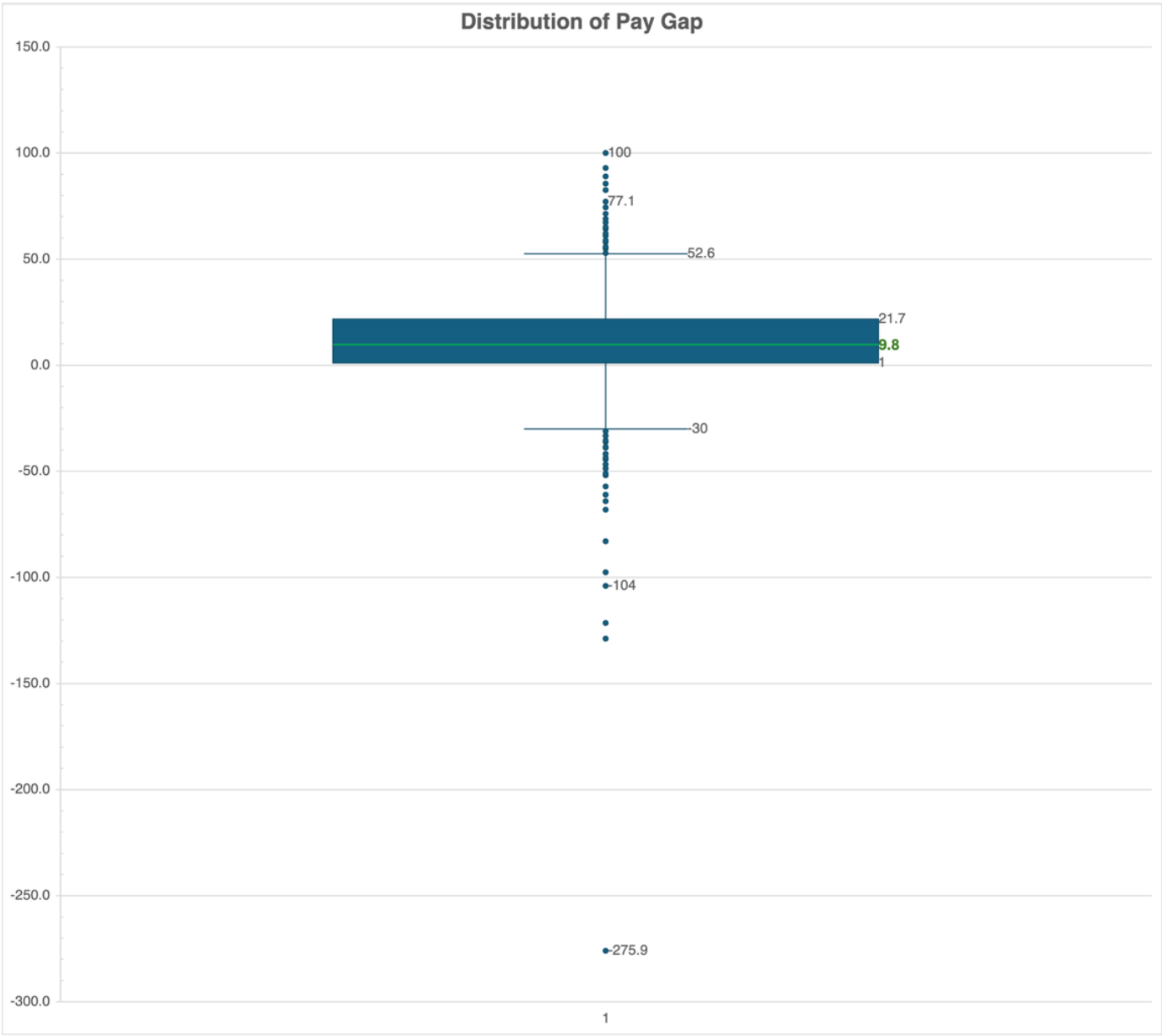
9.8%

On average, women earn approximately
10% less than men
across organisations

If a typical man earns £10,
a typical woman earns £9

DISTRIBUTION OF THE GENDER PAY GAP ACROSS COMPANIES

Wide and skewed with most companies clustered around the median of approximately 10% but with a number of companies with extreme high pay gaps.



Top 10% of the companies
Pay gap is above 33%

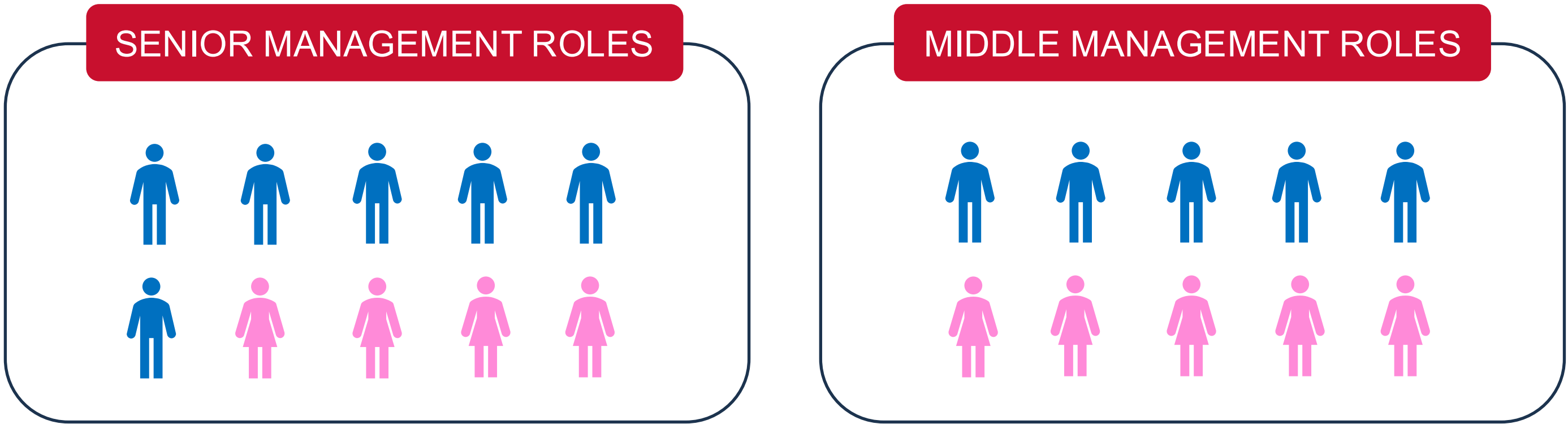
Middle 50% of the companies
Pay gap is ranging from 1% to 21.7%

Companies with extreme pay gap
Pay gap is ranging from -104% to -275.9%

KEY FACTOR IN DRIVING THE GENDER PAY GAP

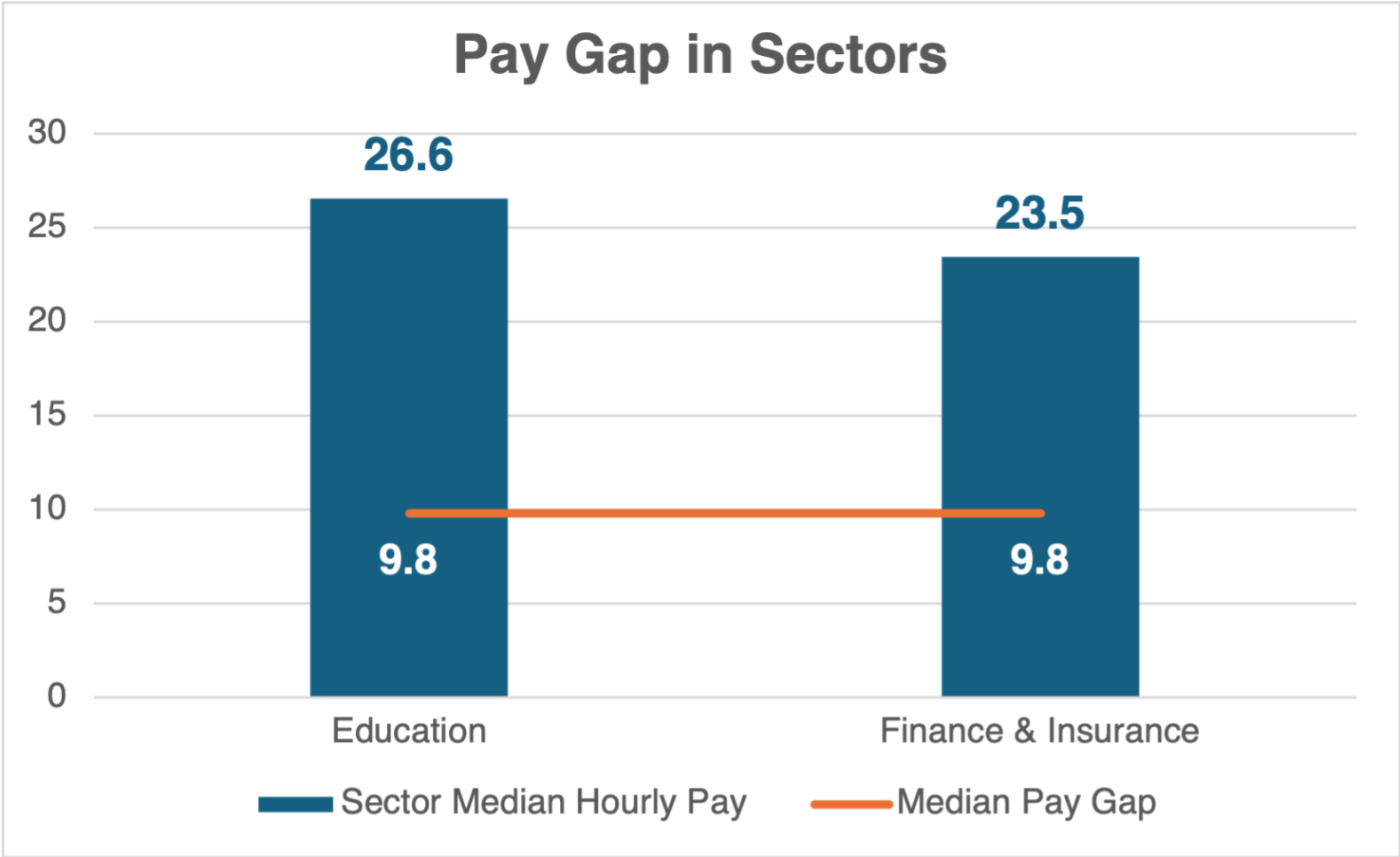
The gender pay gap is **primarily driven by differences in representation across roles and levels**, rather than unequal pay for the same work.

Men are more likely to be represented in higher-paying roles



SECTOR ANALYSIS

Both the **Education** and **Finance & Insurance** sectors show notably higher pay gaps compared to the typical gender pay gap.

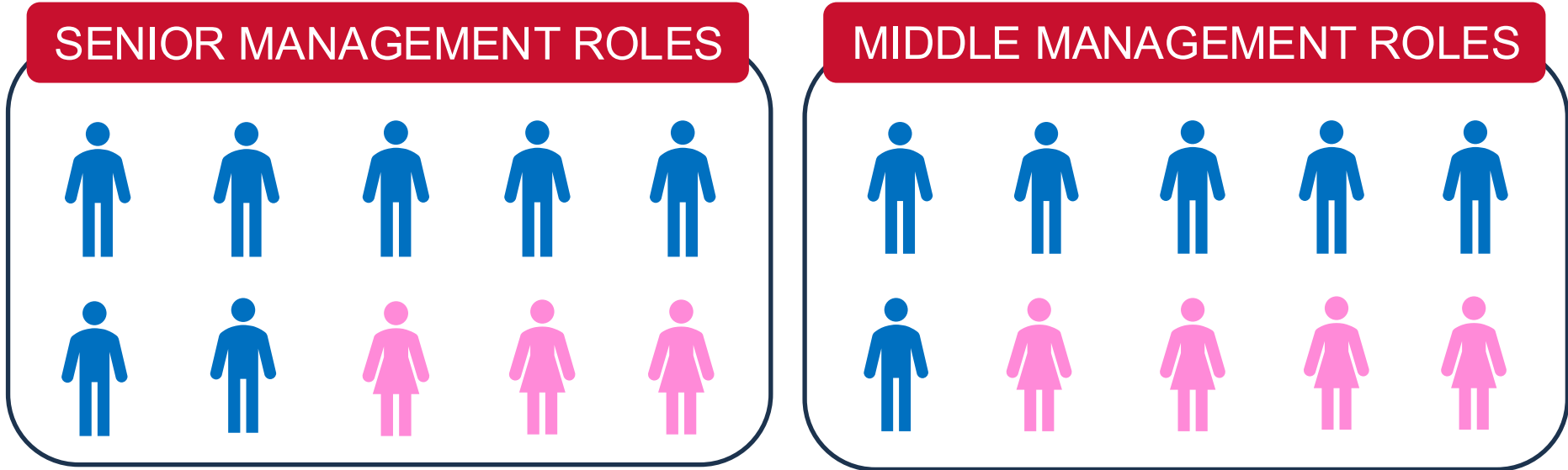


How can a female-dominated sector still have a very high pay gap?

Possible reasons:

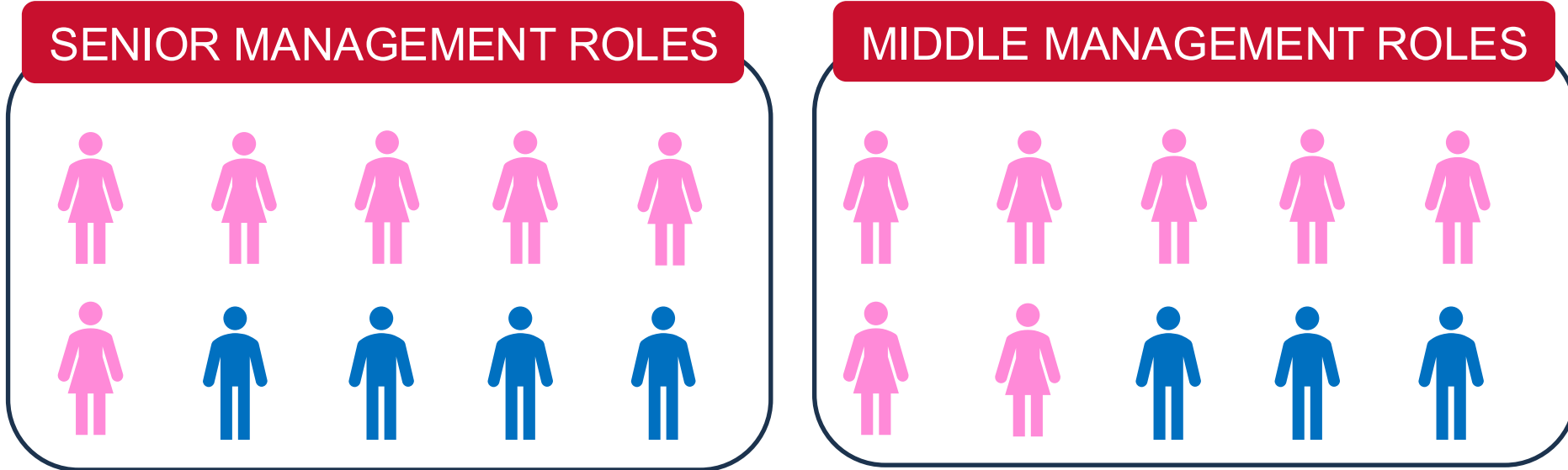
- 1. The typical pay of men are substantially higher than a typical women in higher paying roles
- 2. High concentration of women across in lower- and mid-level positions

FINANCE & INSURANCE



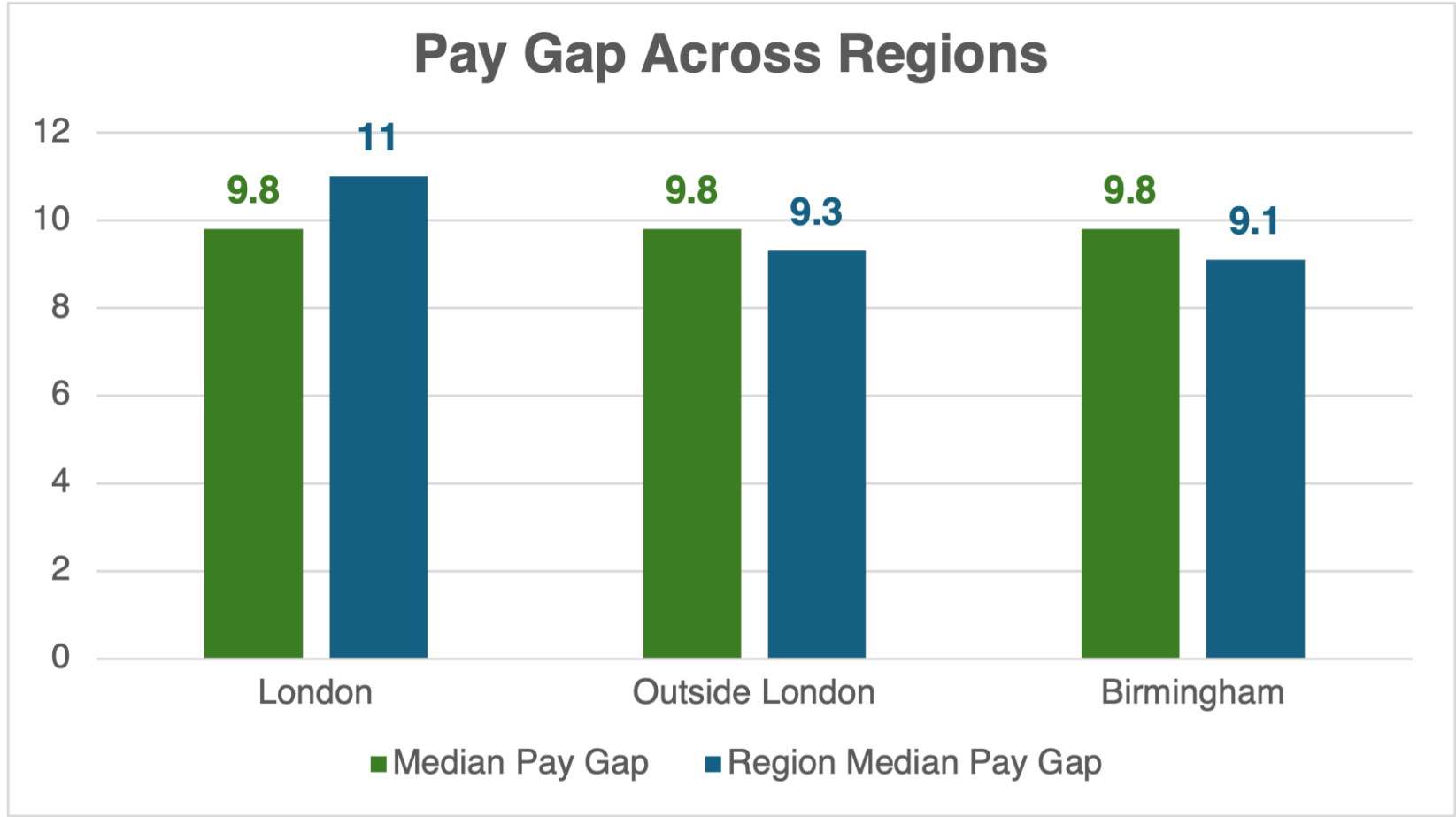
Known as a high-paying sector, the gap is likely driven by the **concentration of men in higher-paying roles** and the **presence of bonus-driven compensation structures**, which can widen overall pay differences.

EDUCATION



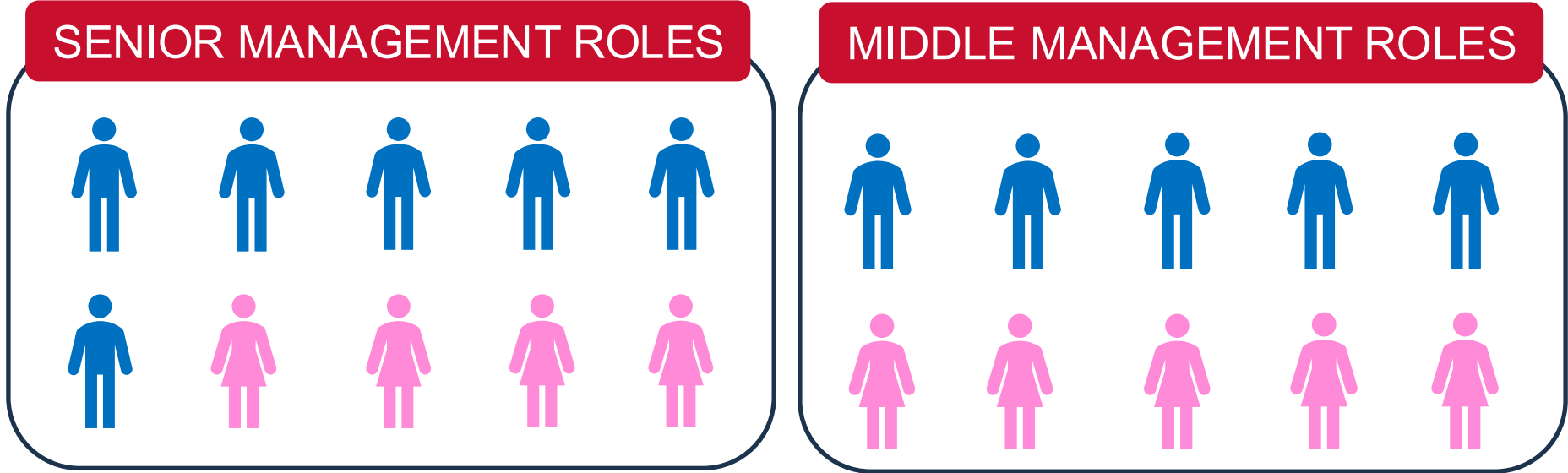
REGION ANALYSIS

Regional differences in the gender pay gap are present but relatively modest. Gender pay gap is a **widespread issue across all regions**.

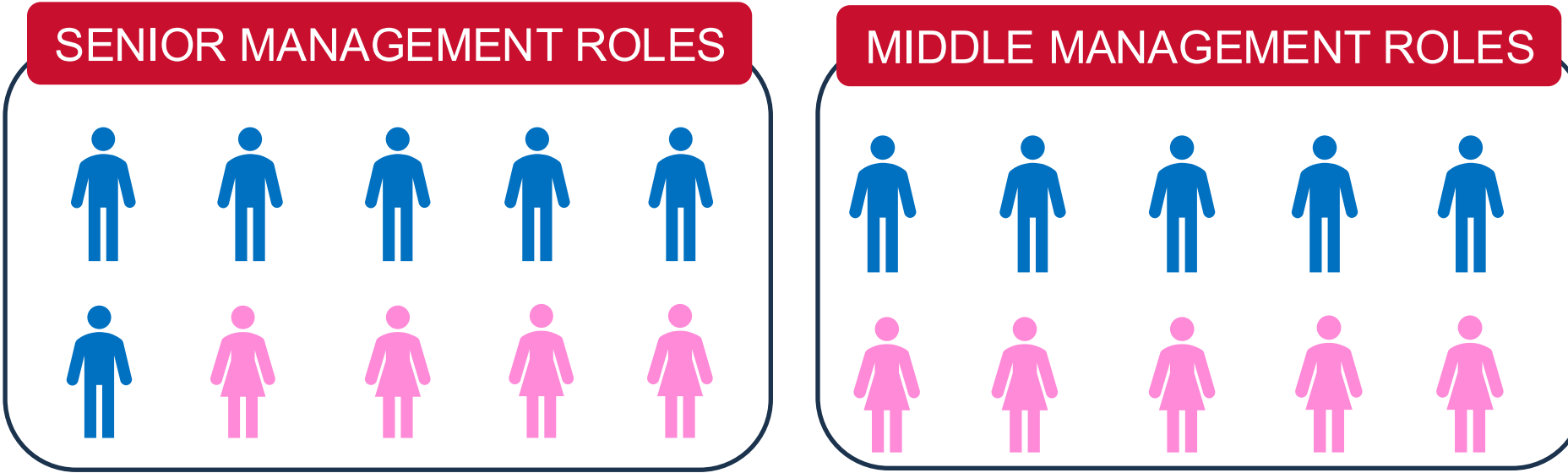


Pay differences are slightly more pronounced among London-based organisations where the **concentration of high-paying industries and roles**, and where **men are more likely to be represented in senior positions**.

LONDON & OUTSIDE LONDON



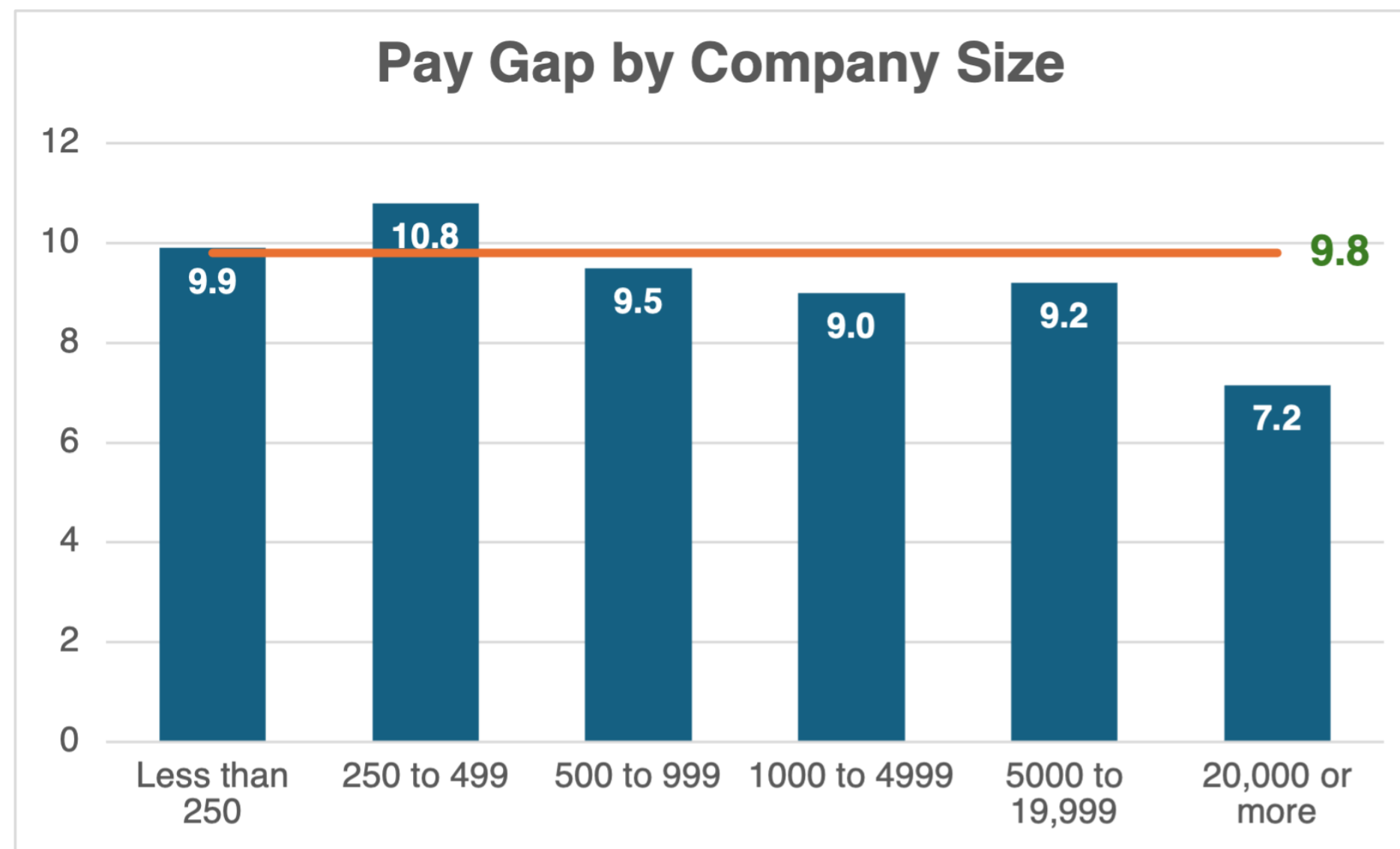
BIRMINGHAM



Birmingham shows a slightly lower median pay gap (9.1%), which may reflect a more balanced mix of industries and a narrower range of high-paying roles.

DOES COMPANY SIZE AFFECT GENDER PAY GAP?

There is **no strong relationship** between company size and the gender pay gap, Suggesting that organisational scale alone does not explain the differences.



Relatively modest gaps across company size **range from 7% to 11%.**

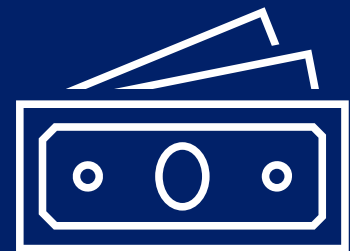
Large organisations have a slightly lower median gap of **7.15%.**

Gender Pay Gap $\neq$ Unlawful Pay Discrimination

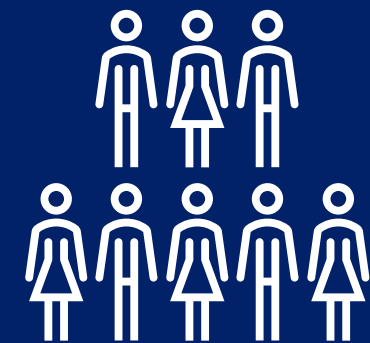
Instead, it reflects broader structural factors such as
the distribution of men and women across different roles and levels within organisations

HOW TO ADDRESS GENDER PAY GAP?

Longer-term and sustained structural changes



to improve the representation in higher-paying roles
and support the progression across the workforce





KEEP IN MIND WHEN INTERPRETING THE FINDINGS

- ❑ Analysis is based on **employer-level reporting** rather than workforce-weighted measures

Impact: May not reflect the experience of the overall workforce

- ❑ **Only includes full-pay relevant employees**, excluding those on leave such as such as maternity, paternity, sick, sabbatical, or other forms of leave

Impact: May understate the true gender pay gap

- ❑ **Does not include role-level or job-specific information**

Impact: Limits the ability to assess equal pay for equal work

- ❑ **Self-reported by employers**

Impact: May contain inconsistencies in interpretation, reporting practices, or data quality



KEEP IN MIND WHEN INTERPRETING THE FINDINGS

- ❑ Data represents **a single reporting period** and does not allow for trend analysis over time

Impact: Limits the ability to assess whether gaps are widening, narrowing, or stable

- ❑ Region analysis is **based on employer postal code**

Impact: May affect the accuracy of regional comparisons

- ❑ **Inconsistent or multiple industry classifications (SIC codes)**

Impact: May affect the accuracy of sector or industry comparisons

- ❑ **Structural limitations in the dataset**

Examples: absence of workforce headcount data, lack of context on working patterns and role distribution and use of zeros in place of missing values.

Impact: May affect the accurate interpretation of the data

RECOMMENDATIONS

The findings from this analysis highlight the need for improvements in both data collection and organisational practices to better understand and address the gender pay gap.

- ✓ **ENHANCE DATA GRANULARITY TO BETTER UNDERSTAND DRIVERS** such as job roles and levels, career progression and promotions, and tenure and experience.

OUTCOME: Clearer understanding of whether pay differences arise within similar roles or are driven by how employees are distributed across different levels

- ✓ **IMPROVE CONSISTENCY AND CLARITY IN REPORTING**

OUTCOME: Improve the consistency and comparability of reported data

- ✓ **CAPTURE MORE PRECISE WORKFORCE MEASURES** such as actual employee counts.

OUTCOME: Enable more accurate, weighted analysis and provide a clearer picture of the impact of the gender pay gap across the workforce

RECOMMENDATIONS

The findings from this analysis highlight the need for improvements in both data collection and organisational practices to better understand and address the gender pay gap

✓ ENCOURAGE ORGANISATIONS TO ADDRESS PROGRESSION PATHWAYS

Provide support in the following initiatives:

- Improving career progression pathways,
- Increasing representation at senior levels, and
- Ensuring more equitable access to opportunities across the workforce

OUTCOME: Address the gender pay gap in longer-term and sustained in partnership with the UK government and the companies

In conclusion,

- **Is there a gender pay gap?**
Gender pay gap in the UK is **widespread and persistent**, with a **typical gap of around 10% across employers**
- **What drives it?**
Differences in representation across roles and levels and the imbalance often begins before the most senior levels, pointing to a **broader career progression or pipeline issue**
- **Which companies have a gender pay gap?**
It is **not confined to specific types of organisations**.
It is present across companies of all sizes and across different regions in the UK.
- **What gender pay gap is not!**
The presence of a gender pay gap **does not, on its own, indicate unlawful pay discrimination**.
- **So what?**
Addressing the gender pay gap will require a **sustained and structural approach**, focused on **improving representation across all levels of the organization**, supporting **progression into higher-paying roles** and **ensuring that opportunities are accessible more evenly across the workforce**.

